

A FIRST PRICING MODEL

THE PRICING STARTER

A first pricing model for independent creatives who have never written one down.

Not the full Pricing Workbook — enough to stop guessing.
Capacity · cost floor · scope multiplier · target price.

INTRODUCTION

01

PRICING IS A MODEL, NOT A FEELING

Most independent creatives price by feel. They look at a project, feel a number, and round it. Sometimes the number is right. Often it is wrong in the same direction — too low — for years. The cost of pricing by feel is invisible until the practice cannot absorb a slow quarter.

A pricing model does not tell you what to charge. It gives you a way to reason about price from your own capacity, your own costs, the scope of the work, and the value to the buyer. The number you produce is a reasoned floor and a target. What you actually quote is up to you — but you will know what you are quoting against.

A model does not remove judgment. It gives judgment something to land on.

SECTION ONE

02

EFFECTIVE-CAPACITY WORKSHEET

Effective capacity is the number of hours per year you can actually bill. It is not your working hours. It is your working hours minus the time the practice requires to exist — admin, marketing, learning, rest, and the gap between projects.

A Working hours per week

Hours you are at your desk, available for work.

B Weeks worked per year

After holidays, vacation, and sick leave.

C $A \times B =$ gross working hours

The total hours the practice has.

D Non-billable load (% of C)

Admin, marketing, learning, pitching, gap. 35–55% is typical.

E $C \times (1 - D) =$ effective capacity

The hours you can actually bill. This is the number that matters.

SECTION TWO

03

COST-FLOOR CALCULATION

The cost floor is the annual revenue the practice must produce to keep you at the income you have decided to live on, after all the costs of running the practice. Price below the floor and you are paying to work. The floor is not your price — it is the line the price cannot cross.

F Annual overhead

Software, hardware, insurance, professional fees, coworking, travel, supplies.

G Desired annual income (pre-tax)

What you want to pay yourself. Decide before you calculate, not after.

H $F + G =$ revenue required

The minimum the practice must bring in.

I $H \div E =$ cost-floor hourly rate

The hourly rate below which you are paying to work.

J Cost floor $\times 1.0$

Use this for the floor price of a project. Do not quote below it.

The floor is not a price. It is the line the price cannot cross without you funding the work.

SECTION THREE

04

SCOPE-COMPLEXITY MULTIPLIER

The same hourly rate does not apply to every project. A project with three stakeholders, an unfamiliar industry, and a fixed public launch carries more cognitive load than a project for a returning buyer in your home discipline. The multiplier adjusts the floor to the actual project.

LEVEL	PROFILE	MULTIPLIER
1.0	Returning buyer, home discipline, one decision-maker, no fixed launch date.	1.0×
1.2	Returning buyer, adjacent discipline, two decision-makers, internal-only delivery.	1.2×
1.4	New buyer, home discipline, two decision-makers, internal-only delivery.	1.4×
1.7	New buyer, adjacent discipline, three stakeholders, soft launch date.	1.7×
2.0	New buyer, unfamiliar industry, three or more stakeholders, fixed public launch.	2.0×

The multiplier is a judgment, not a formula. Two projects at level 1.4 can still differ by 20%. Use the table to anchor the conversation with yourself — not to replace it.

SECTION FOUR

05

TARGET-PRICE SUMMARY

Fill this in for one offer you currently sell. The output is a reasoned floor and a target. The target is what you quote when the project is a fit and the buyer is a fit. The floor is the line below which you decline.

K Offer name

The specific offer you are pricing. Not the category — the offer.

L Estimated hours for this offer

From past projects like this one. Not from a hope.

M Cost-floor hourly rate (from row I)

Carry it down.

N $L \times M =$ floor price

Below this, you are paying to work.

O Scope-complexity multiplier (from \$04)

1.0 to 2.0.

P $N \times O =$ adjusted floor

The floor for this project.

Q Target multiplier

Typically 1.3 to 1.8. Accounts for value, scarcity, and the buyer's gain.

R $P \times Q =$ target price

The number you quote when the fit is right.

A WORKED EXAMPLE

A designer with effective capacity of 1,100 hours/year (E), overhead of \$9,000 (F), and desired income of \$80,000 (G) has a revenue required (H) of \$89,000. Their cost-floor rate (I) is roughly \$81/hour. A brand-refresh offer estimated at 80 hours (L) has a floor price (N) of \$6,480. At scope multiplier 1.4 (new buyer, home discipline) the adjusted floor (P) is \$9,072. At target multiplier 1.5 (R), the target price is \$13,608. They might quote \$13,500 — and decline below \$9,000.

Margin / Form is a fictional creator business. This is a demonstration resource.